

Product Requirements Document: Construction Payroll System (Tier 1)

1. Introduction

This document outlines the core functional and non-functional requirements for a software solution designed to manage Tier 1 construction payroll. This foundational system addresses the essential needs of construction companies working on private (non-certified) projects with a non-union workforce.¹ The primary goal is to provide an accurate, compliant, and efficient tool that mitigates common but costly payroll errors, such as worker misclassification, inaccurate time tracking, and overtime miscalculations.²

2. Target Users

- **Payroll Administrators:** Primary users responsible for data entry, processing payroll, and generating reports.
- **Company Owners/Executives:** Require high-level financial data, job costing insights, and assurance of compliance.
- **Project Managers:** Need access to real-time labor cost data to track project budgets and profitability.⁵
- **Field Supervisors:** Responsible for approving employee timecards to ensure accuracy before processing.⁶
- **HR Managers:** Involved in employee onboarding, benefits administration, and ensuring compliance with labor laws.³

3. Functional Requirements

These features represent the baseline functionality required to manage a non-certified, non-union construction payroll process effectively.

3.1. Employee Management & Onboarding

This module is critical for establishing a compliant foundation and managing worker data accurately.

- **FR-C1.1: Employee Profiles:** The system must allow for the creation and management of comprehensive employee profiles, including name, address, Social Security Number, and contact information.⁸
- **FR-C1.2: Worker Classification:** The system must clearly distinguish between W-2 employees and 1099 independent contractors to prevent misclassification, which can lead to severe financial penalties.³ It should store documentation related to job duties and the degree of control over the worker to support classification decisions.³
- **FR-C1.3: Tax Form Management:** Must support the digital storage and management of

essential tax documents, including Federal Form W-4 and any required state withholding certificates.⁸

- **FR-C1.4: Variable Pay Rates:** A critical feature for construction, the system must support the assignment of multiple pay rates to a single employee. Rates may vary based on the task performed, equipment used, or project assigned.³
- **FR-C1.5: Direct Deposit:** Must allow for the setup of direct deposit payments, including the ability to split payments across multiple employee bank accounts.⁹

3.2. Time and Attendance

Accurate time tracking is the bedrock of the entire payroll process, as errors at this stage cascade through all subsequent calculations.¹⁰

- **FR-C2.1: Digital Time Entry:** The system must provide digital time tracking capabilities to replace error-prone manual and paper-based systems.¹⁰ This should include mobile access for field workers to clock in and out.¹²
- **FR-C2.2: Job and Cost Coding:** Employees must be able to allocate their hours to specific projects (job codes) and tasks (cost codes).⁷ This is non-negotiable for accurate job costing.¹³
- **FR-C2.3: Approval Workflows:** The system must support a multi-level approval workflow where field supervisors and project managers can review and approve timecards before they are submitted for payroll processing.⁶

3.3. Pay Calculation

This module automates the complex calculations required to determine employee earnings and deductions.

- **FR-C3.1: Gross Pay Calculation:** Must automatically calculate gross pay by multiplying hours worked by the correct, variable pay rate assigned to that time.¹⁰
- **FR-C3.2: Automated Overtime:** The system must automatically calculate overtime pay (at 1.5 times the regular rate) for all hours worked over 40 in a workweek, in compliance with the FLSA.⁸ This is crucial, as overtime miscalculations are the leading cause of payroll errors.²
- **FR-C3.3: Tax Withholding:** Must automatically calculate and deduct all required statutory taxes, including Federal Income Tax (FIT), State Income Tax (SIT), and FICA (Social Security and Medicare) taxes for both the employee and employer portions.¹²
- **FR-C3.4: Voluntary Deductions:** Must support the configuration and processing of both pre-tax (e.g., 401k, health insurance) and post-tax (e.g., wage garnishments) deductions.⁸

3.4. Payment and Reporting

This module handles the final steps of paying employees and meeting compliance reporting obligations.

- **FR-C4.1: Payment Processing:** The system must be able to generate ACH files for direct deposit and support the printing of physical paychecks.⁹

- **FR-C4.2: Pay Stub Generation:** Must generate detailed pay stubs for each employee every pay period. The stub must clearly itemize gross earnings, all deductions and taxes, and the final net pay to ensure transparency and meet state law requirements.¹⁴
- **FR-C4.3: Tax Form Generation:** The system must be able to generate key federal tax forms, including the quarterly Form 941 and the annual Form W-2 for each employee.¹⁷
- **FR-C4.4: Basic Job Costing Reports:** Must provide reports that show total labor costs (including wages and labor burden like employer taxes) allocated to each project.⁵ This provides project managers with vital data to compare actual costs against estimates.¹³
- **FR-C4.5: Record Retention:** The system must securely store all payroll records for a minimum of three to four years to comply with FLSA and state regulations.⁸

4. Non-Functional Requirements

- **NFR-1: Security:** Must feature role-based access control to ensure users can only access data relevant to their roles. All sensitive employee and company data must be encrypted both at rest and in transit.¹
- **NFR-2: Usability:** The interface should be intuitive and user-friendly to minimize training requirements for both office staff and field personnel.¹
- **NFR-3: Reliability:** The system must have a high level of uptime (e.g., 99.9%) to ensure payroll can be processed on time, as late or missed payments are a significant cause of employee turnover.⁴
- **NFR-4: Integration:** Must offer the ability to integrate with common construction accounting systems (e.g., QuickBooks, Sage) to eliminate double data entry and ensure data consistency between payroll and the general ledger.⁵